

Homework 1 (Part 0) - Real World Article / Chart Challenge

(25 points total)

Article Title	How China is Becoming a Money Pit for Foreign Automakers, in Charts
Author Name(s)	Stephen Wilmot
Student Name	Rey Stone
Student ID	11144637

1. Why do you think the article was written? [5 points]

Focus of this question
• This question encourages you to evaluate the arguments, evidence, assumptions, and conclusions about key issues (i.e. think critically about the paper) • This question encourages you to develop your own knowledge, comprehension and conceptual understanding and to connect, synthesize, and/or transform your ideas into a new form (i.e. be a creative thinker and contribute your ideas and thoughts)

Write your answer below:

This article was written to bring to people's awareness how difficult it is for foreign automakers to make a profit in China. Due to the rise in popularity of homegrown EVs in China, foreign cars are no longer appealing to the Chinese population.

I also think that there is a slight bias in this article. Since WSJ is an American publishing company, and US and China relations are rocky (to put it very lightly). While this is a fascinating article, the title alone "China is Becoming a Money Pit for Foreign Automakers" makes it sound like a terrible predicament upon many people that may or may not change the course of thousands of lives! I am no expert on the foreign affairs of China and other countries; however, I fail to see the point of urgency this article conveys. I agree that it is a fascinating series of events that are happening, and if foreign automakers must stop selling their cars in another country, I disagree with the urgency this article gives off.

2. Who was the article written for? What are three (3) central messages of the article?
[5 points]

Focus of this question
• This question encourages you to develop your own knowledge, comprehension and conceptual understanding and to connect, synthesize, and/or transform your ideas into a new form (i.e. be a creative thinker and contribute your ideas and thoughts)

Write your answer below:

While I want to believe that the WSJ wrote this article for a general audience, I believe that this article is more geared towards people who take interest in foreign affairs and business. I come to this conclusion, because while the title is quite captivating, I know that a person who is not invested in foreign affairs concerning the automobile market, I don't think I would have been inclined to click on the article (but I also rarely read or browse the Internet looking for headlines). The sentences read quite simple, and aside from some few technical terms such as "joint ventures" and "regional profit", it reads as a pretty surface level article.

Three central messages of this article:

1. If you are a foreign automaker trying to sell cars in China, that may just be a pipe dream.
2. China is becoming a force to be reckoned with in the global EV market, making their homegrown EVs more popular in China, leaving foreign brands in the dust.
3. A lot of popular foreign brands which once had claim in China's market are now pulling out of China as they see profits decrease.

3. There are six (6) charts in the article. Assume the charts are listed by appearance (i.e. the first chart you see in the article is Chart 1, the second chart you see is Chart 2, the last chart you see is Chart 6 etc.). Consider the charts as they are used to explain parts of the article. Select any three (3) charts and describe the following per chart

- What you like about the chart
- How the chart helps understand the article
- What you do not like about the chart
- How you would improve the chart

[15 points – the answers for each chart you choose is worth 5 points]

Focus of this question
• This question encourages you to connect your learning to “real world” issues or life experiences and consider diverse perspectives for the application of concepts in the paper to the real world • This question encourages you to reflect on what you are learning • This question encourages you to contribute your ideas and thoughts • Consider diverse perspectives (gender, political, ethnic, racial, etc.) • Challenges you to develop and present your own knowledge, comprehension, and conceptual understanding

Write your answer below:

Chart 1:

What I like: I like this chart because it is central to the article and very accurately sums up what this article is about just from one visualization. It is a simple line chart showing the relation of time as the x-axis and the percentage of foreign automobile maker sales in China.

How the chart helps understand the article: As I stated in my previous answer, this chart effectively sums up the article’s central claim in one visualization. It shows us with only two annotations, how foreign automobile makers have become decreasingly profitable in China as China’s EVs become more popular over foreign cars.

What I do not like about this chart: I don’t dislike anything about this chart so far. I think that it conveys its message very clearly and succinctly without creating too much visual noise. I can see how it could be glossed over because it is the first thing that is noted when opening the article, but other than that, I find it to be quite reasonable.

How would I improve the chart: I would improve the labels on the x-axis. The only month displayed on the entire visualization is “July 2021”, which is a good starting point, but then they kind of just neglect the rest of the months. Also, why are we starting in the middle of July? I realize that both annotations are marked for July 2022 and July 2024, so maybe that’s why? I also would label the y-axis as “60% of sales” so it is clearer to the reader what the y-axis is. Either that or include grey subtext explaining that.

Chart 2:

What I like about it: What really makes this chart stand out was how they dealt with the negative value of Volkswagen’s equity income. I really liked how they included the negative y-axis as well as highlighted Volkswagen’s negative joint venture profit by bolding the column.

How the chart helps understand the article: This article really conveys to the audience how surprising this benchmark is. When reading the line “A jarring new data point came earlier this month when Germany’s Volkswagen reported its first quarterly loss in at least 15 years from joint ventures and associates.”, me, as a non-business major who doesn’t know what a “joint venture associates” is can really see how surprising this is when compared to the previous years of Volkswagen’s equity income. It is a powerful visualization that conveys the weight of the article’s words.

What I do not like about this chart: Literally the only thing I dislike about this chart is due to the fact I do not know what a “joint ventures and associates” means.

How would I improve this chart: I would explain what a “joint ventures and associates” means in a footnote or greyed out subtext. I would also add an annotation to how much equity income Volkswagen lost, because even though it is shown visually, a discrete number would also greater the shock factor.

Chart 5

What I like about it: It’s visually very simple and conveys a simple clear message: Here is Tesla’s revenue in China.

How this chart helps understand the article: If I am being honest, this chart was the least helpful visualization in the entire article. I guess it helps the reader understand how Tesla’s share of revenue slipped to less than a fifth in the first half of 2024? But it’s not that compelling.

What I do not like about this chart: There is not enough information to make any meaningful conclusion. Even though the current year is highlighted in a darker blue, I see many other unimportant data that is not explained nor elaborated on. The two

lowest bars happen somewhere in 2015 and then again in 2018, and I would want those explained more than I would like to see how little Telsa's shares have dropped. I do not see a point in this graph because it does not convey a sense of urgency as the other charts have.